

Tamilnadu 2016

Grade 12

PART - III

Accountancy

Time allowed: 3 Hours

Maximum Marks: 200

Instructions:

- (1) Check the question paper for fairness of printing. If there is any lack of fairness, inform the Hall Supervisor immediately.
- (2) Use **Blue** or **Black** ink to write and underline and pencil to draw diagrams.

PART – A

Note: Answer **all** the questions.

[30 x 1 = 30]

I. Fill in the blanks.

1. Prepaid expenses are shown on the _____ side of the Balance Sheet.
2. Depreciation is deducted from the concerned _____ in the balance sheet.

3. As per trial balance as on 1.04.2004, the Bank Loan Rs. 10,00,000, rate of interest 10% per annum. Interest paid Rs. 60,000, interest outstanding is Rs. _____ as on 31.03.2005.
4. Statement of affairs method is also called as _____ method.
5. A firm has Assets worth Rs. 60,000. Capital Rs. 45,000. Then its liabilities are Rs. _____.
6. _____ method of depreciation is calculated on the original cost of assets.
7. _____ method of depreciation is suitable for special type of assets like loose tools.
8. Bank overdraft is an example for _____ liability.
9. Sales Rs. 3,50,000, capital employed Rs. 1,75,000. Then the capital turnover ratio is _____.
10. There are _____ methods by which a cash budget is prepared..
11. The capital accounts of partners may be _____ or fluctuating.
12. When unrecorded liability is brought into books, it results in _____.

13. On retirement, the profit on revaluation of business will be shared by _____ partners.

14. Reserve capital can be issued only at the time of _____.

15. There should be a gap of _____ between two calls.

II. Choose and write the correct answer:

16. Accrued interest is:

- (a) an income (b) an asset (c) a liability

17. The trial balance as on 31.3.2005 shows sundry debtors Rs. 30,800. Write off Rs. 800 as bad debts. The amount of provision for bad and doubtful debts at 5% will be:

- (a) Rs. 71,540 (b) Rs. 1,500 (c) Rs. 1,000

18. Credit sales is obtained from:

- (a) Total debtors account
(b) Total creditors account
(c) Bills payable account

19. A firm's total sales is Rs. 80,000 and its credit sales is Rs. 60,000 then its cash sales is:

- (a) Rs. 20,000 (b) Rs. 1,40,000 (c) Rs. 70,000

20. Depreciation arises due to:

- (a) Wear and tear of the asset
- (b) Fall in the market value of asset
- (c) Fall in the value of money

21. Total amount of depreciation provided on the written down value method at the rate of 10% p.a. of Rs. 15,000 for first three years will be:

- (a) Rs. 4,635 (b) Rs. 4,065 (c) Rs. 4506

22. Gross profit ratio establishes the relationship between:

- (a) Gross profit and total sales
- (b) Gross profit and credit sales
- (c) Gross profit and cash sales

23. All profitability ratios are expressed in terms of:

- (a) Proportion (b) Tires (c) Percentage

24. Budget is an estimate relating to ____ period.

- (a) Future (b) Current (c) Past

25. Interest on capital is calculated on the:

- (a) opening capital (b) closing capital (c) average capital

26. At the time of admission of a partner it should be found out:

- (a) gaining ratio (b) capital ratio (c) sacrificing ratio

27. In the absence of any specific agreement, partner's loan to the firm will carry an interest of:

- (a) 6% pa. (b) 10% pa. (c) 12% pa.

28. When a company issues shares at a price higher than the face value it is called as:

- (a) issue at par
(b) issue at premium
(c) issue at discount

29. Capital reserve is shown on _____ side of the Balance Sheet.

- (a) asset (b) liability (c) both

30. When shares are forfeited the share capital of the company will:

- (a) remain same (b) increase (c) reduce

PART – B

Note: (i) Answer any 10 questions.

[10 x 5 = 50]

(ii) Answer to theory questions should not exceed 50 words each.

31. What are Outstanding Expenses?

32. What is statement of affairs?

33. What is Scrap or Residual value?

34. Define Ratio.

35. What are the methods used for the preparation of Cash Budget?

36. What is Gaining Ratio?

37. What is forfeiture of shares?

38. Give adjusting entry and transfer entry for Depreciation on machinery Rs. 25,000.

39. Calculate the missing figure:

	Rs.
Profit made during the year	5,000
Capital at the end	12,000
Additional capital introduced	4,000
Drawings	2,400
Opening capital	?

40. From the following particulars, find out the rate of depreciation under straight line method.

Cost of fixed assets	Rs. 1,20,000
Residual value	Rs. 12,000
Estimated life	10 years

41. From the following, determine the stock-turnover ratio:

Opening stock	Rs. 2,00,000
Closing stock	Rs. 1,50,000
Purchase	Rs. 4,75,000

42. Calculate the amount of goodwill on the basis of three years purchase of the last four years average profits. The profits for the last four years are: First year profit Rs. 50,000. Second year profit Rs. 80,000. Third year loss Rs. 30,000. Fourth year profit Rs. 60,000.

43. Ravi and Raja are partners sharing profits in the ratio of 7:3. They admit Rajesh into the partnership to $\frac{1}{5}$ th share, the old partners sacrificing equally. Calculate the new profit ratio.

44. X Ltd. Company issued 40,000 shares of Rs. 10 each for cash at a premium of Rs. 3 per share. All cash was received for all the shares issued. Pass journal entry.

PART – C

Note: (i) Answer any five questions including question number 45 which is compulsory.

(ii) Answer to theory questions should not exceed 150 words each.

[5 x 12 = 60]

45. (a) The Trial Balance shows on 31.03.2009 as Sundry debtors Rs. 1,25,000.

Adjustments:

(i) Bad debts to be written off % 5,000.

(ii) Provide at 5% provision for bad and doubtful debts.

(iii) Provide at 2% provision for discount on debtors.

Pass adjusting entries and show how these items will appear in the final accounts.

OR

(b) The balance appears in Mr. Bharani's books which are kept in Single Entry basis are mentioned below:

Particulars	January 1, 2001	December 31, 2001
	₹	₹
Furniture	4,000	4,000
Stock	10,000	12,000
Sundry Debtors	12,000	8,000
Cash	20,000	40,000
Sundry Creditors	4,000	7,000
Bills receivable	2,000	1,000
Loan [Dr]	-	2,000
Investment	-	8,000

He drawings during the year were Rs. 4,000. Depreciate furniture by 10%. Prepare a statement showing profit for the year 2001.

46. What are the needs for providing depreciation?

47. What is Cash Budget? Give four examples each for cash receipts and cash payments.

48. What are the differences between fixed capital method and fluctuating capital method?

49. STAR Limited Company purchased a machinery for Rs. 5,00,000 on 1st April 2006. It is depreciated at 10% per annum on diminishing balance method. Having become obsolete it was sold for Rs. 3,80,000 on 31.3.2009.

Prepare Machinery Account and Depreciation Account for three years assuming that the Accounts are closed on 31st March every year.

50. From the following details calculate:

(a) Gross profit ratio

(b) Net profit ratio

(c) Stock turnover ratio

	₹		₹
Sales	1,50,000	Closing stock	31,000
Cost of goods sold	1,20,000	Debtors	15,000
Opening stock	29,000	Administration Expenses	15,000

51. Shankar and Kannan are partners sharing profits and losses equally. Their capitals on 01.04.2005 were Rs. 60,000 and Rs. 40,000 respectively. Interest on capital is agreed at 6% p.a. Interest on drawings is fixed at 8% p.a. The drawings of the partners were Rs. 6,000 and Rs. 4,000 respectively. Interest on drawings were for Shankar Rs. 240 and for Kannan Rs. 160. Shankar is entitled to a salary of Rs. 8,400 p.a. and Kannan is entitled to get a commission of Rs. 4,000. The Net profit of the firm before making the above adjustments was Rs. 54,000 for the year ended on 31st March, 2006. Prepare the Profit and Loss Appropriation Account and Capital Account of the partners assuming that their capital was fluctuating.

52. Moon Ltd. Company forfeited 500 equity shares of Rs. 100 each fully called up on which the final call of Rs. 20 has not been paid. Out of these 300 shares were reissued at Rs. 80 each fully paid up. Give necessary Journal entries and prepare Ledger Accounts for Forfeited Shares Account and Capital Reserve Account.

PART – D

Note: Answer any 3 questions including question number 53 which is compulsory. **[3 x 20 = 60]**

53. (a) Mr. Shakthi maintained his books of account on Single Entry System. From the following details prepare Trading, Profit and Loss Account for the year ending 31.3.2006 and a Balance Sheet as on that date:

	01.04.2005	31.03.2006
Stock	50,000	25,000
Sundry Debtors	1,25,000	1,75,000
Furniture	5,000	5,000
Cash	12,500	20,000
Sundry Creditors	75,000	87,500

Other details:

	Rs.
Discount received	7,500
Discount allowed	5,000
Sundry expenses	17,500
Cash paid to sundry creditors	2,25,000
Cash received from sundry debtors	2,67,500
Drawings	20,000
Sales return	7,500
Purchase return	2,500
Cash sales	2,500

OR

(b) Suresh, Dinesh and Mukesh were partners of a firm sharing profits and losses in the ratio of 3:2:1. Their Balance Sheet as on 31st December 2006 is as follows:

Balance Sheet as on 31st December 2006

Liabilities	₹	Assets	₹
Sundry Creditors	25,000	Cash	63,000
Bills payable	15,000	Bills receivable	10,000
General Reserve	30,000	Sundry debtors	30,000
Capital Accounts		Stock	42,000
Suresh 80,000		Furniture	15,000
Dinesh 50,000		Buildings	80,000
Mukesh 40,000	1,70,000		
	2,40,000		2,40,000

Mukesh retired from the partnership on 1st January 2007. On the following terms:

- (i) Goodwill of the firm was to be valued at Rs. 3,000.
- (ii) Assets are to be valued as under:
Stock Rs. 50,000, Building Rs. 1,00,000.
- (iii) Furniture was to be depreciated by Rs. 3,000.
- (iv) A provision for doubtful debts be created at Rs. 1,000.
- (v) Mukesh was to be paid off at once.

Show Revaluation Account, Capital Accounts and Balance Sheet of the reconstituted firm.

54. The following are the balance extracted from the books of Mr. Udhayakumar as on 31.3.1998. Prepare Trading and Profit and Loss Account and the Balance Sheet as on 31.3.1998.

Debit Balances	₹	Credit Balances	₹
Drawings	40,000	Capital	2,00,000
Cash at Bank	17,000	Sales	1,60,000
Cash in hand	65,000	Sundry Creditors	45,000
Wages	10,000		
Purchases	20,000		
Stock (01.04.1997)	60,000		
Buildings	1,00,000		
Sundry Debtors	44,000		
Bills receivable	29,000		
Rent	4,500		
Commission	2,500		
General Expenses	8,000		
Furniture	5,000		
	4,05,000		4,05,000

The following adjustments are to be made:

- (i) Stock on 31.3.1998 was Rs. 40,000.
- (ii) Interest on capital at 6% to be provided.
- (iii) Interest on drawings at 5% to be provided.
- (iv) Wages yet to be paid Rs. 1,000.
- (v) Rent prepaid Rs. 500.

55. From the following Balance Sheet of Global Company Ltd, calculate:

- (i) Debt – equity ratio
- (ii) Proprietary ratio
- (iii) Current ratio
- (iv) Fixed asset turnover ratio

Balance Sheet as on 31.03.2004

Liabilities	₹	Assets	₹
Share Capital	2,00,000	Land and Building	1,40,000
Reserves	40,000	Plant and Machinery	80,000
6% Debentures	60,000	Furniture	20,000
Sundry Creditors	75,000	Stock	40,000
Bills payable	25,000	Bills receivable	30,000
		Sundry Debtors	80,000
		Cash	10,000
	4,00,000		4,00,000

Additional information : Sales for the year ₹ 4,80,000.

56. From the following information, prepare a Cash Budget for June, July and August 2006.

Month	Credit sales	Credit purchase	Expenses
	₹	₹	₹
2006 April	4,50,000	3,20,000	40,000
2006 May	5,10,000	2,10,000	30,000
2006 June	6,00,000	3,00,000	36,000
2006 July	7,20,000	3,40,000	24,000
2006 August	6,30,000	4,20,000	28,000

Additional Information:

- Opening Cash Balance as on 1st June 2006 is Rs. 4,00,000.
- Period of credit allowed to customers - one month.
- Period of credit allowed by suppliers - two months.
- Lag in payment of Expenses is one month.
- Sale of Machinery Rs. 1,00,000 in July.

57. Arvind Company Ltd. issued 40,000 shares of Rs. 100 each at a premium of Rs. 10 each payable as follows:

On Application	Rs. 30
On Allotment	Rs. 40 (including premium Rs. 10)
On First call	Rs. 20
On Final call	Rs. 20

The company received applications for 50,000 shares. Applications for 10,000 shares were rejected. Both the calls were made and all the money duly received.

Pass Journal Entries. Prepare Bank Account, Share Capital Account, Securities Premium Account and the Balance Sheet.